

BUDGET PRESENTATION

troy.k12.mi.us



Date: June 17, 2025

Presenter: Dan Trudel, CPA



Troy School District

OVERVIEW

2024-2025 Final Amendments
2025-2026 Budget Proposals



1

Truth in taxation and
establishment of millage rates

2

General Fund

- Budget adjustments
- Budget assumptions

3

Ancillary Funds

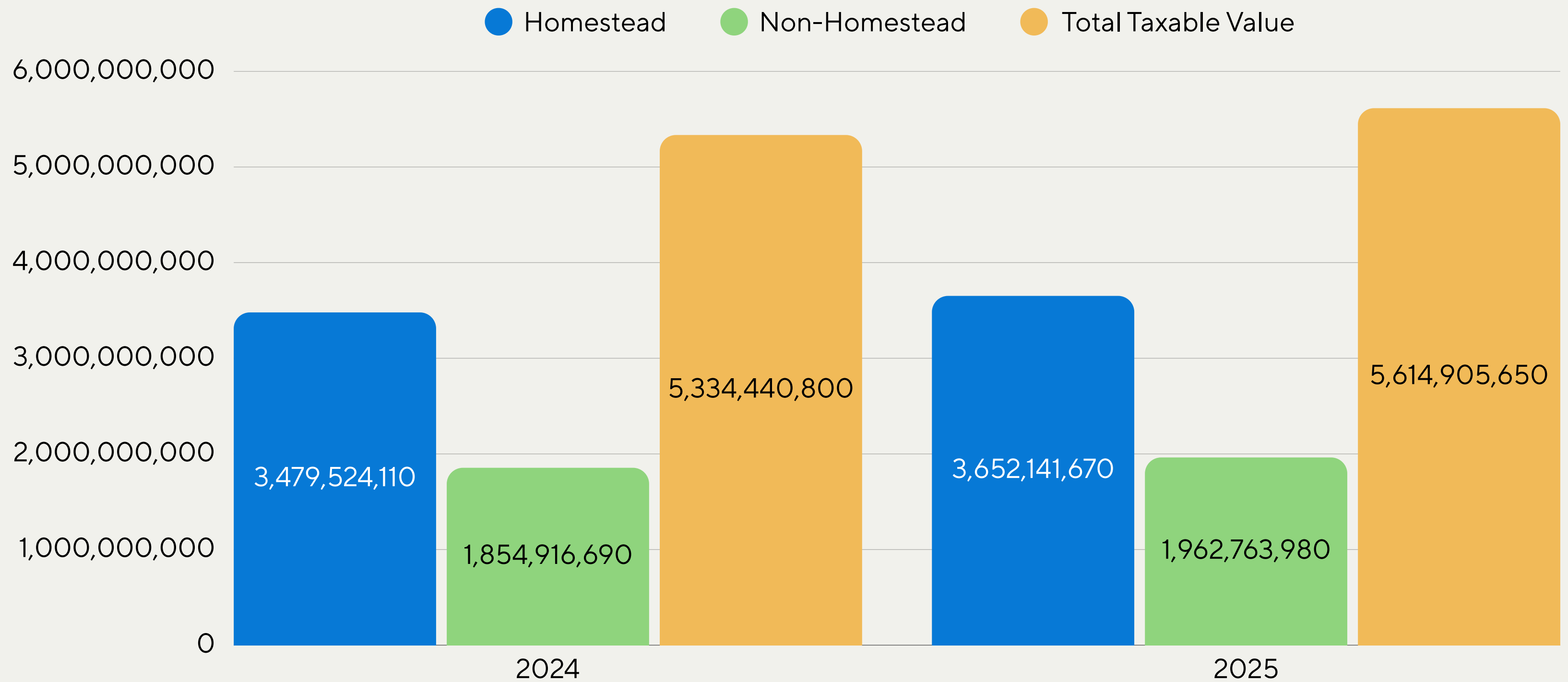
- 2019 Capital Projects
- 2023 Capital Projects
- Debt Funds
- Building Site & Sinking
- Capital Maintenance

4

Special Revenue Fund

- Food Service
- Troy Career Center
- Community Service
- Troy Preschool
- School and Student Activities

TAXABLE VALUES



TAXES LEVIED

✓ State Education Tax

6 mills levied on **homestead and non-homestead** properties required by the State of Michigan towards the foundation allowance.

✓ Operating Millage

18 mills levied on **non-homestead** properties by the school district for operating expenditures.

✓ Hold Harmless

Millage rate based on enrollment, taxable values and foundation allowance. Calculated annually and levied on **homestead** properties.

✓ Sinking Fund and Debt Fund

Levied by the school district on **homestead and non-homestead** properties towards sinking fund expenditures and debt service expenditures.

HEADLEE AMENDMENT

✓ **Voter Approval**

Approved by Michigan voters in 1978 as an amendment to the Michigan Constitution

✓ **Millage Rollback**

Automatically rolls back a millage rate to ensure taxes do not increase more than the rate of inflation

✓ **Annual Calculation**

District must annually calculate any applicable rollbacks to the Operating Millages and Sinking Fund Millage.

2025 MILLAGE RATES

✓ General Operating

- Commercial Personal Property - 8.5796 mills
- Homestead - 2.5796 mills
- All Other Non-Homestead - 18.0000 mills

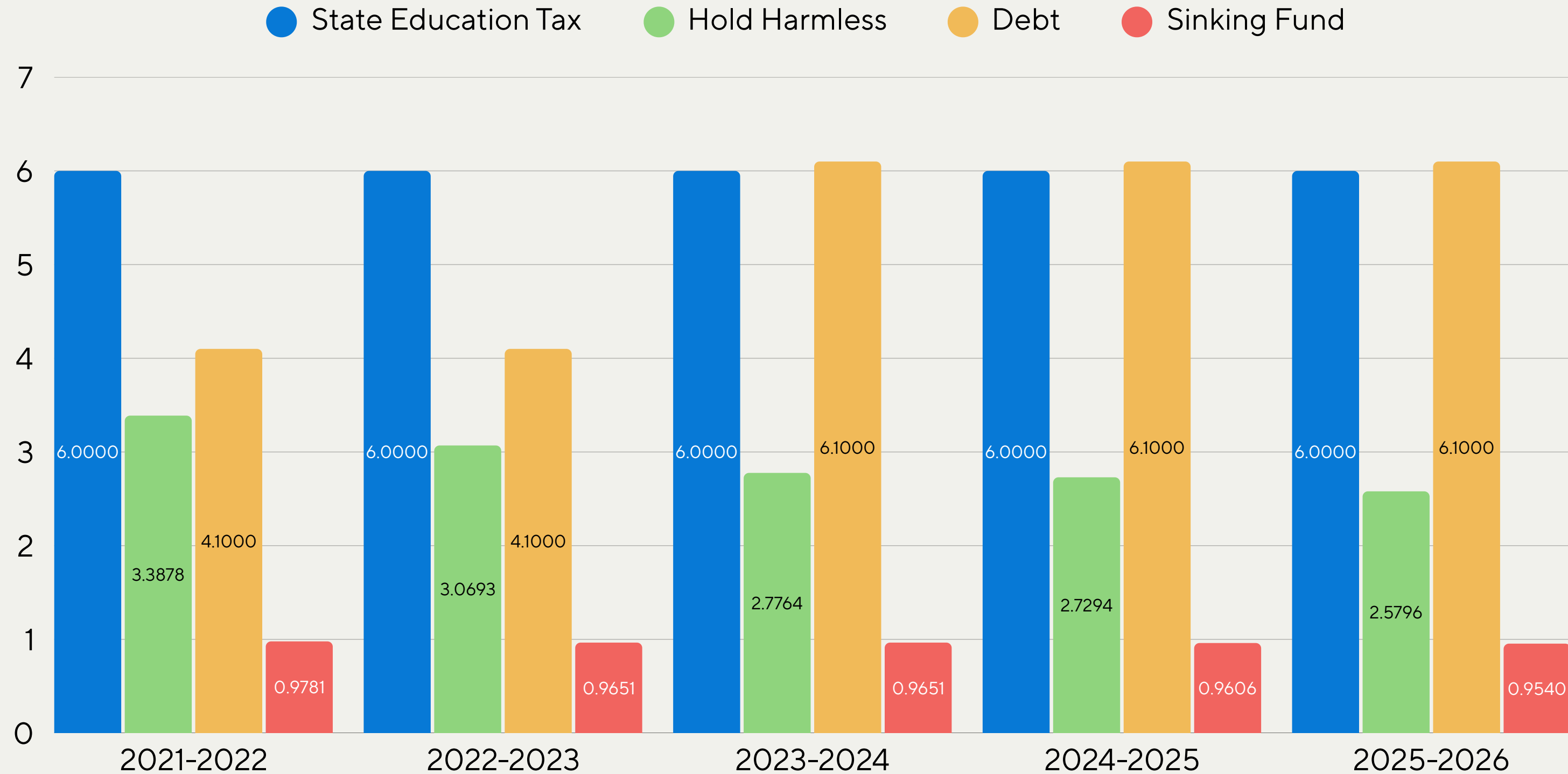
✓ Sinking Fund

- All Properties - 0.9540 mills

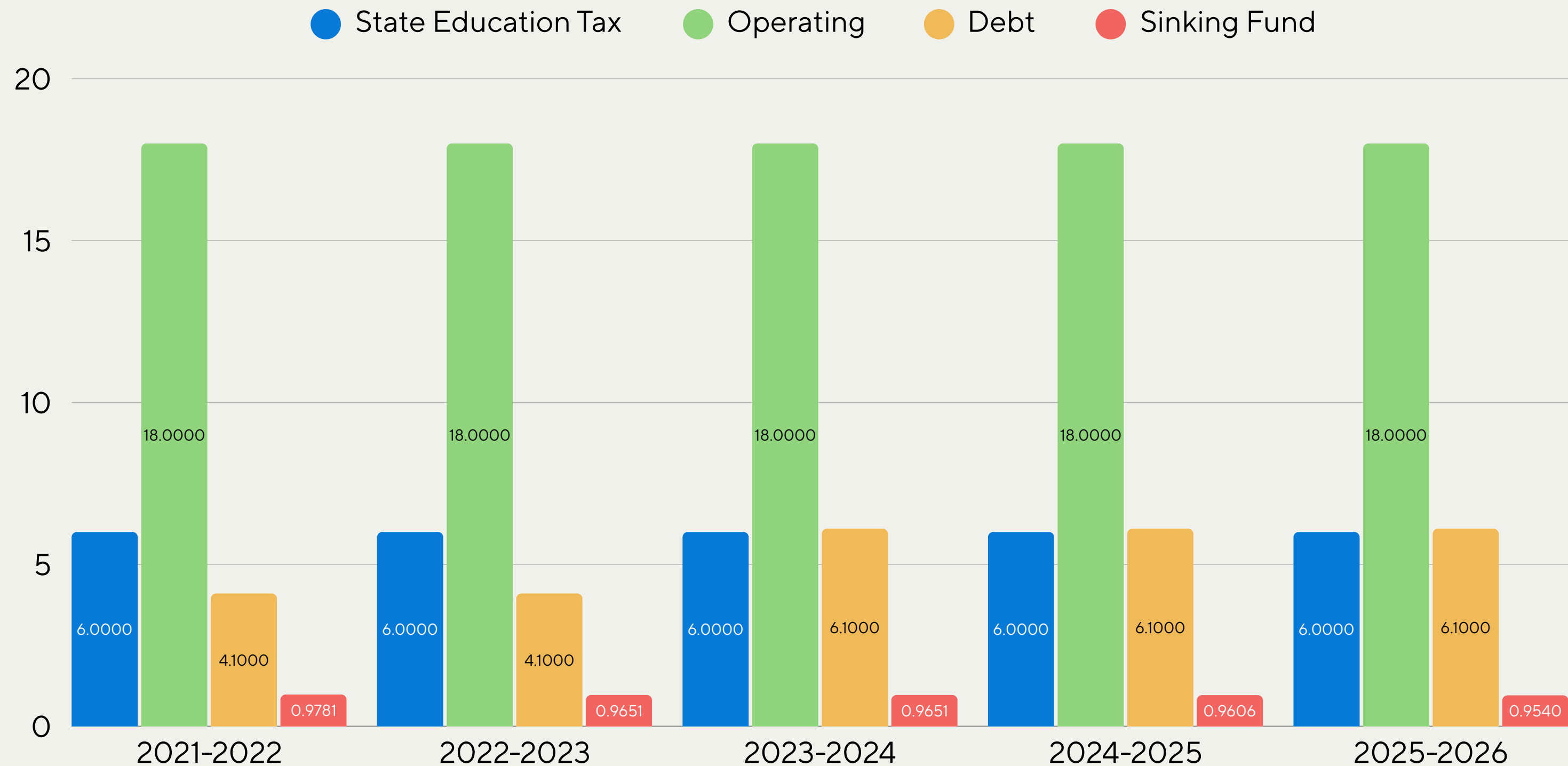
✓ Debt Fund

- All Properties - 6.1000 mills

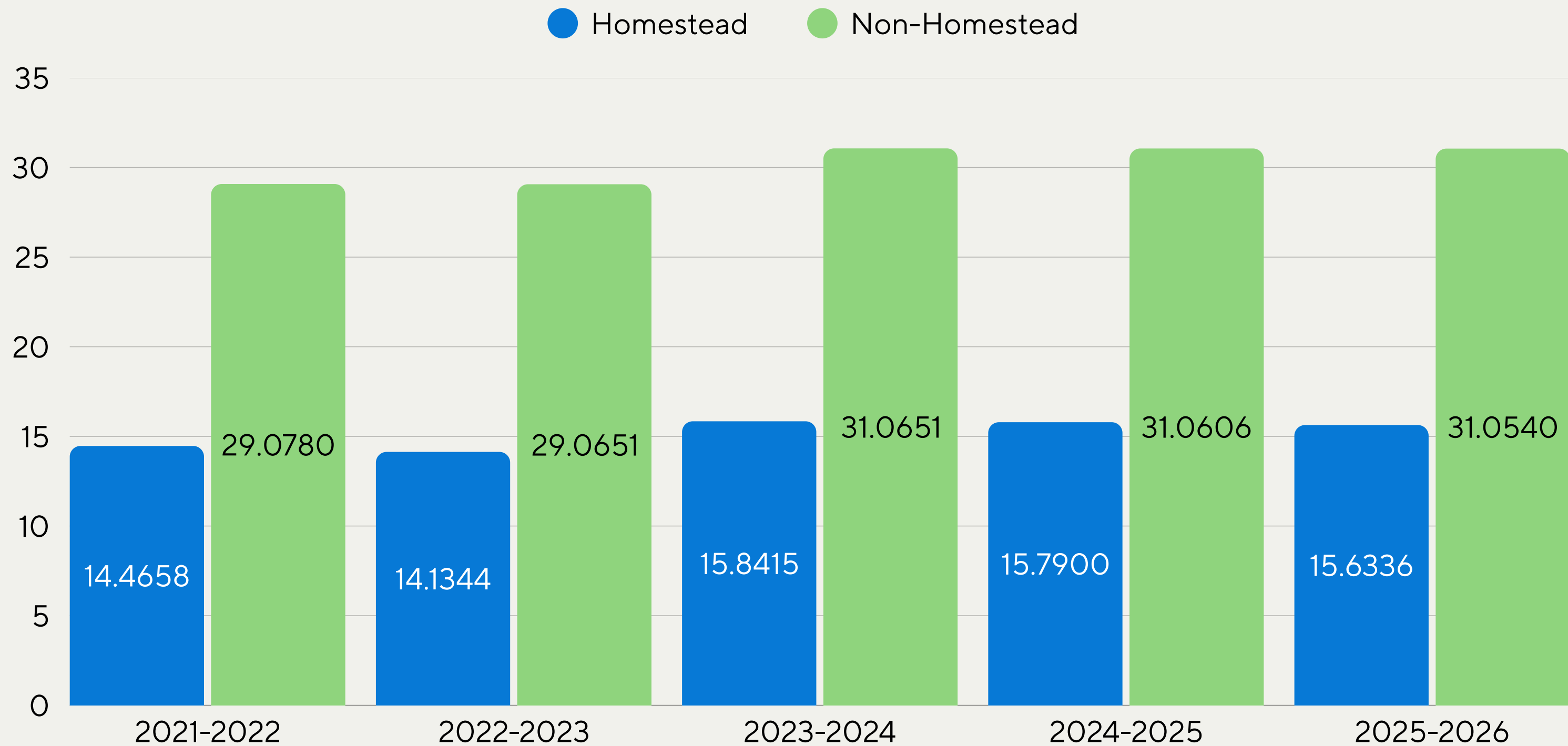
HOMESTEAD MILLAGE COMPARISON



NON-HOMESTEAD MILLAGE COMPARISON



TOTAL MILLAGE COMPARISON



2025 Tax Rate Request (This form must be completed and submitted on or before September 30, 2025)

MILLAGE REQUEST REPORT TO COUNTY BOARD OF COMMISSIONERS

Carefully read the instructions on page 2.

This form is issued under authority of MCL Sections 211.24a, 211.34 and 211.34d. Filing is mandatory. Penalty applies.

County(ies) Where the Local Government Unit Levies Taxes Oakland	2025 Taxable Value of ALL Properties in the Unit as of 5-27-2025. 5,614,905,650
Local Government Unit Requesting Millage Levy Troy School District	For LOCAL School Districts: 2025 Taxable Value excluding Principal Residence, Qualified Agricultural, Qualified Forest, Industrial Personal and Commercial Personal Properties if a millage is levied against them. 1,962,763,980

You must complete this form for each unit of government for which a property tax is levied. Penalty for non-filing is provided under MCL Sec 211.119.

The following tax rates have been authorized for levy on the 2025 tax roll.

(1) Source	(2) Purpose of Millage	(3) Date of Election	(4) Original Millage Authorized by Election, Charter, etc.	(5)** 2024 Millage Rate Permanently Reduced by MCL 211.34d "Headlee"	(6) 2025 Current Year "Headlee" Millage Reduction Fraction	(7) 2025 Millage Rate Permanently Reduced by MCL 211.34d "Headlee"	(8) Sec 211.34 Truth in Assessing or Equalization Millage Rollback Fraction	(9) Maximum Allowable Millage Levy*	(10) Millage Requested to be Levied July 1	(11) Millage Requested to be Levied Dec. 1	(12) Expiration Date of Millage Authorized
EXT VOTE	Operating NON-HOME	11/16/18	21.0000	19.5206	0.9901	19.3273	1.0000	19.3273	7.7102	7.7102	12/2025
EXT VOTE	Operating ALL	11/13/15	5.9800	5.7049	0.9932	5.6661	1.0000	5.6661	1.2898	1.2898	12/2025
EXT VOTE	Sinking Fund	11/7/17	1.0000	0.9606	0.9932	0.9640	1.0000	0.9640	0.4770	0.4770	12/2027
VOTE	2015 Debt	11/5/13	NA	NA	1.0000	NA	1.0000	NA	0.3000	0.3000	NA
VOTE	2016 Debt	11/5/13	NA	NA	1.0000	NA	1.0000	NA	0.3200	0.3200	NA
VOTE	2019 Debt	11/5/13	NA	NA	1.0000	NA	1.0000	NA	0.1450	0.1450	NA
VOTE	2021 Debt	6/14/04	NA	NA	1.0000	NA	1.0000	NA	0.5650	0.5650	NA
VOTE	2023 Debt	11/8/22	NA	NA	1.0000	NA	1.0000	NA	1.7200	1.7200	NA

Prepared by Aurel Malutan	Telephone Number 248-823-4033	Title of Preparer Director of Finance	Date 6/17/25
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CERTIFICATION: As the representatives for the local government unit named above, we certify that these requested tax levy rates have been reduced, if necessary to comply with the state constitution (Article 9, Section 31), and that the requested levy rates have also been reduced, if necessary, to comply with MCL Sections 211.24a, 211.34 and, for LOCAL school districts which levy a Supplemental (Hold Harmless) Millage, 380.1211(3).

- ☐ Clerk
☒ Secretary
☐ Chairperson
☒ President

Signature	Print Name Emina Alic	Date 6/17/25
Signature	Print Name Dr. Nancy Philippart	Date 6/17/25

*Under Truth in Taxation, MCL Section 211.24e, the governing body may decide to levy a rate which will not exceed the maximum authorized rate allowed in column 9. The requirements of MCL 211.24e must be met prior to levying an operating levy which is larger than the base tax rate but not larger than the rate in column 9.

** IMPORTANT: See instructions on page 2 regarding where to find the millage rate used in column (6).

LOCAL SCHOOL DISTRICTS ONLY: Supplemental (Hold Harmless) Millage to be levied. See SEC Section 2 of 2025 Act 400-0000 in column 10-14 only.	
Total School District Operating Rates to be Levied (HH/Supp and NH Oper ONLY)	Rate
For Principal Residence, Qualified Ag, Qualified Forest and Industrial Personal	2.5786
For Commercial Personal	8.5786
For all Other	18.0000

2024-2025 GENERAL FUND BUDGET ADJUSTMENTS



1

Categorical funding adjusted to reflect anticipated final state aid status report

2

Federal grant funding adjusted to reflect anticipated final allocations

3

ISD related funding sources adjusted to reflect anticipated final allocations

4

Purchased services, salaries and benefits budgets adjusted to reflect anticipated final expenditures

2025-2026 GENERAL FUND BUDGET ASSUMPTIONS



1

Lowest proposed budget for each categorical and foundation allowance based on the Governor, House and Senate

2

Assumes a blended FTE count of 12,100. This is a decrease from our current blended FTE count of 12,274.

3

Lowest foundation allowance per pupil proposed and utilized is \$392.

4

Target of \$5 million of general fund expenditure reductions

GENERAL FUND BUDGETS

	2024-2025 ORIGINAL BUDGET	2024-2025 AMENDMENT #3	2025-2026 ORIGINAL BUDGET
REVENUES	191,544,523	194,857,883	190,545,984
EXPENDITURES	195,485,356	198,652,719	194,285,613
CHANGE IN FUND BALANCE	(3,940,833)	(3,794,836)	(3,739,629)
BEGINNING FUND BALANCE	33,420,580	36,774,527	32,979,691
ENDING FUND BALANCE	29,479,747	32,979,691	29,240,062
FUND BALANCE %	15.08%	16.60%	15.05%

2019 CAPITAL PROJECTS FUND BUDGETS

	2024-2025 ORIGINAL BUDGET	2024-2025 AMENDMENT #3	2025-2026 ORIGINAL BUDGET
REVENUES	60,000	50,000	30,000
EXPENDITURES	1,000,000	60,000	1,034,912
CHANGE IN FUND BALANCE	(940,000)	(10,000)	(1,004,912)
BEGINNING FUND BALANCE	1,059,463	1,014,912	1,004,912
ENDING FUND BALANCE	119,463	1,004,912	0

2023 CAPITAL PROJECTS FUND BUDGETS

	2024-2025 ORIGINAL BUDGET	2024-2025 AMENDMENT #3	2025-2026 ORIGINAL BUDGET
REVENUES	6,000,000	7,932,749	3,996,374
EXPENDITURES	87,600,000	83,829,884	67,063,907
CHANGE IN FUND BALANCE	(81,600,000)	(75,897,135)	(63,097,533)
BEGINNING FUND BALANCE	133,553,267	177,897,535	102,000,400
ENDING FUND BALANCE	51,953,267	102,000,400	38,932,867

DEBT FUND BUDGETS

	2024-2025 ORIGINAL BUDGET	2024-2025 AMENDMENT #3	2025-2026 ORIGINAL BUDGET
REVENUES	31,930,500	33,007,543	31,855,092
EXPENDITURES	31,709,530	31,709,530	32,070,536
CHANGE IN FUND BALANCE	220,970	1,298,013	(215,444)
BEGINNING FUND BALANCE	2,441,910	2,625,343	3,923,356
ENDING FUND BALANCE	2,662,880	3,923,356	3,707,912

SINKING FUND BUDGETS

	2024-2025 ORIGINAL BUDGET	2024-2025 AMENDMENT #3	2025-2026 ORIGINAL BUDGET
REVENUES	5,115,000	5,119,133	5,225,572
EXPENDITURES	5,000,000	5,119,133	2,125,000
CHANGE IN FUND BALANCE	115,000	0	3,100,572
BEGINNING FUND BALANCE	1,002,354	76,457	76,457
ENDING FUND BALANCE	1,117,354	76,457	3,177,029

CAPITAL MAINTENANCE FUND BUDGETS

	2024-2025 ORIGINAL BUDGET	2024-2025 AMENDMENT #3	2025-2026 ORIGINAL BUDGET
REVENUES	0	0	2,000,000
EXPENDITURES	0	200,000	700,000
CHANGE IN FUND BALANCE	0	0	1,300,000
BEGINNING FUND BALANCE	645,683	672,125	472,125
ENDING FUND BALANCE	645,683	472,125	1,772,125

FOOD SERVICE FUND BUDGETS

	2024-2025 ORIGINAL BUDGET	2024-2025 AMENDMENT #3	2025-2026 ORIGINAL BUDGET
REVENUES	6,693,500	8,446,080	8,657,232
EXPENDITURES	6,398,307	8,195,798	9,834,958
CHANGE IN FUND BALANCE	295,193	250,282	(1,177,726)
BEGINNING FUND BALANCE	2,803,943	3,600,167	3,850,449
ENDING FUND BALANCE	3,099,136	3,850,449	2,672,723

TROY CAREER CENTER FUND BUDGETS

	2024-2025 ORIGINAL BUDGET	2024-2025 AMENDMENT #3	2025-2026 ORIGINAL BUDGET
REVENUES	2,623,839	3,184,938	3,344,186
EXPENDITURES	2,623,839	3,184,938	3,344,186
CHANGE IN FUND BALANCE	0	0	0
BEGINNING FUND BALANCE	0	0	0
ENDING FUND BALANCE	0	0	0

COMMUNITY SERVICE FUND BUDGETS

	2024-2025 ORIGINAL BUDGET	2024-2025 AMENDMENT #3	2025-2026 ORIGINAL BUDGET
REVENUES	2,050,000	2,208,948	2,272,097
EXPENDITURES	2,047,885	2,227,143	2,490,615
CHANGE IN FUND BALANCE	2,115	(18,195)	(218,518)
BEGINNING FUND BALANCE	2,457,076	2,099,551	2,081,356
ENDING FUND BALANCE	2,459,191	2,081,356	1,862,838

TROY PRESCHOOL FUND BUDGETS

	2024-2025 ORIGINAL BUDGET	2024-2025 AMENDMENT #3	2025-2026 ORIGINAL BUDGET
REVENUES	4,196,657	4,935,311	4,823,947
EXPENDITURES	4,070,508	4,885,182	5,371,973
CHANGE IN FUND BALANCE	126,149	50,129	(548,026)
BEGINNING FUND BALANCE	2,320,369	2,291,052	2,341,181
ENDING FUND BALANCE	2,446,518	2,341,181	1,793,155

STUDENT ACTIVITIES FUND BUDGETS

	2024-2025 ORIGINAL BUDGET	2024-2025 AMENDMENT #3	2025-2026 ORIGINAL BUDGET
REVENUES	2,900,000	3,000,000	3,200,000
EXPENDITURES	2,900,000	3,000,000	3,200,000
CHANGE IN FUND BALANCE	0	0	0
BEGINNING FUND BALANCE	2,446,386	2,446,386	2,446,386
ENDING FUND BALANCE	2,446,386	2,446,386	2,446,386

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